

If the size of unbilled revenue is significant, we will begin with understanding its structure. Unbilled revenue has high potential for accounting manipulation.



Companies can create unbilled revenue and then cancel it in the subsequent year. Thus, if unbilled revenue increases at a fast pace, we need to look into it to understand it better.

Unbilled Revenue



Accounts

We then must understand who initiated the unbilled revenue, what are the terms, when is it due and so on. We also need to understand which business division of the company requires unbilled revenue. Unbilled revenue can be very high in projects that continue over a long period, i.e., over many years.



There needs to be a parity between the growth of Total revenues and that of unbilled revenues.

For example- If total revenues are growing at 10 percent whereas unbilled revenues are growing at 25 percent, it sure is a red flag. To protect our best interests, we need to be very careful.

